Though the Empress Mills episode was an unpleasant experience, there was a small consolation in it for Ratan. It ‘earned him a reputation as a troubleshooter’, commented a leading journal. But the downside was severe. Ratan suffered serious reputational damage, though he had turned around the enterprise and a small bridge loan would have saved it from liquidation.

Surviving the Minefields

Ratan’s detractors attacked him, stating that his stewardship of NELCO and Empress Mills was lacklustre. Even two decades later, one newspaper wrote that his ‘rival chieftains’ motivated ‘snide remarks’ by the press against Ratan, measuring his capability with the performance of NELCO and the mill. ‘The two “failures” of NELCO and Empress Mills haunted Ratan Tata for decades,’ commented another magazine.

The jarring truth, however, was that these two companies had already outlived their productive years by the time Ratan was asked to take over. The earlier managements had neither modernized them nor introduced newer products in line with market demand. More notably, Tata Sons too had turned a blind eye to their modernization. There could indeed be some credence to the narrative that Ratan’s detractors had plotted to have him take up these assignments and, at the crucial time, reneged on their commitments to support his proposals to revive the two companies.

They had perhaps also harboured the hope that Ratan’s overall capability would take a beating after these two sure-to-fail entities collapsed, and he would be viewed as being incapable of heading complex organizations. This would then affect his perceived suitability to occupy important positions in the Tata hierarchy. Deanna says that they gave him the companies that had no hope of being resurrected as ‘they wanted him to fail’. Ratan’s refrain was, ‘Give me a little from Tata Sons and I will turn it around’, but they did not. The irony, however, was that these two assignments were given, as Ratan said, ‘supposedly to train’ him. The details of the effort that Ratan had put in to revive the two enterprises and why Empress Mills were wound up has remained in closed files in Bombay House, the iconic headquarters of the Tata Group, and elsewhere. The reality was that with timely and adequate infusion of funds to support the steps Ratan had taken, the mills could have been revived.